CASCADIA ANALYTICS

CSX Corporation

Equity Research Note | CSX | 22 OCTOBER 2026

Eastern Rail Duopoly

CSX Corp screens as a Hold, Valuation Concerns with a $33.36 blended target, 35% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$51.67	$33.36	-35%	HOLD, VALUATION CONCERNS

Investment Thesis

Eastern Rail Duopoly. One of two Class I railroads east of the Mississippi. Operating margin 38.3%, OR down to 61.7% and improving, ROE ~25%. The moat is structural [PR 22-Jul-26]. Record Q2, Raised Guide. $3.94B revenue (+10.1%), EPS $0.54 beat $0.52. FY2026 guide raised: revenue mid-to-high single digits, margin +350bps, FCF +80%. Truck-to-rail conversions are real [PR 22-Jul-26]. Market Prices Perfection. At $51.67 [Mkt 16-Oct-26], the reverse DCF implies 19.2% revenue CAGR, above our $41.27 bull case. Great

- Eastern Rail Duopoly
- Record Q2, Raised Guide
- Market Prices Perfection

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The latest print

Record Q2, Raised Guide. $3.94B revenue (+10.1%), EPS $0.54 beat $0.52. FY2026 guide raised: revenue mid-to-high single digits, margin +350bps, FCF +80%. Truck-to-rail conversions are real.

Market Prices Perfection. At $51.67, the reverse DCF implies 19.2% revenue CAGR, above our $41.27 bull case. Great business, full price. We rate the shares Hold, Valuation Concerns, and we would not sell into strength: the business is healthy, and the price is the problem.

$3.94B	$0.54	61.7%	1.68M units	$687M	$14.1B
REVENUE (Q2 2026)	EPS (Q2 2026)	OPERATING RATIO (Q2 2026)	VOLUME (Q2 2026)	FREE CASH FLOW (Q2 2026)	FY2025 REVENUE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$3.94B	+10.1%	Up
EPS (Q2 2026)	$0.54	+23%	Up
Operating Ratio (Q2 2026)	61.7%	-2.4 pts	Improving
Volume (Q2 2026)	1.68M units	+6.0%	Up
Free Cash Flow (Q2 2026)	$687M	vs -$115M	Up
FY2025 Revenue	$14.1B	-3.1%	Down
Quarterly Dividend	$0.14	n/a	Flat

The moat

Highway-to-rail freight conversions as trucking capacity stays tight

The growth engine

Intermodal volume +9% YoY leading broad-based carload growth

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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CSX Corporation valuation framework

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	2.8%	$16.72B	35.5%	**$23.11**	-55%
Base	50%	4.3%	$17.99B	39.0%	**$34.52**	-33%
Bull	25%	5.5%	$19.25B	41.3%	**$41.27**	-20%

Bear: downside case at $23.11 (-55%).

Base: central case at $34.52 (-33%).

Bull: upside case at $41.27 (-20%).

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The probability-blended target implies 35% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -35% from the $51.67 reference price.

$33.36
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$15.21B**
Valuation horizon	**2026-2030**
Live WACC	**8.72%**
Terminal growth	**2.5%**
Net debt	**$17.47B**
2030 FCF (Base)	**$4.13B**
10-year Treasury yield	**5.0%**
Beta	**1.21**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $33.36 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 19.2%, market-implied 5-yr revenue CAGR: 19.2%.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CSX Corporation valuation framework

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAG
-10%	$32.3B	$7.99	+10%	$78.2B	$32.80	+30%	$169.6B	$82.12	+50%	$334.7B	$171.26	+70%
-9%	$33.8B	$8.83	+11%	$81.5B	$34.58	+31%	$175.8B	$85.48	+51%	$345.6B	$177.11	+71%
-8%	$35.5B	$9.71	+12%	$84.9B	$36.42	+32%	$182.2B	$88.95	+52%	$356.7B	$183.11	+72%
-7%	$37.1B	$10.62	+13%	$88.5B	$38.32	+33%	$188.9B	$92.51	+53%	$368.1B	$189.27	+73%
-6%	$38.9B	$11.57	+14%	$92.1B	$40.29	+34%	$195.7B	$96.18	+54%	$379.8B	$195.58	+74%
-5%	$40.7B	$12.55	+15%	$95.9B	$42.32	+35%	$202.7B	$99.96	+55%	$391.8B	$202.06	+75%
-4%	$42.6B	$13.58	+16%	$99.8B	$44.42	+36%	$209.9B	$103.85	+56%	$404.1B	$208.71	+76%
-3%	$44.6B	$14.65	+17%	$103.8B	$46.60	+37%	$217.3B	$107.85	+57%	$416.7B	$215.52	+77%
-2%	$46.7B	$15.75	+18%	$108.0B	$48.84	+38%	$224.9B	$111.97	+58%	$429.7B	$222.50	+78%
-1%	$48.8B	$16.91	**+19%**	**$112.3B**	**$51.16**	+39%	$232.7B	$116.20	+59%	$442.9B	$229.66	+79%
+0%	$51.0B	$18.10	+20%	$116.7B	$53.56	+40%	$240.8B	$120.55	+60%	$456.5B	$237.00	+80%
+1%	$53.3B	$19.34	+21%	$121.3B	$56.03	+41%	$249.1B	$125.03	+61%	$470.4B	$244.52	+81%
+2%	$55.7B	$20.63	+22%	$126.0B	$58.58	+42%	$257.6B	$129.63	+62%	$484.7B	$252.22	+82%
+3%	$58.2B	$21.97	+23%	$130.9B	$61.22	+43%	$266.4B	$134.36	+63%	$499.3B	$260.12	+83%
+4%	$60.7B	$23.35	+24%	$135.9B	$63.94	+44%	$275.4B	$139.22	+64%	$514.3B	$268.20	+84%
+5%	$63.4B	$24.79	+25%	$141.1B	$66.74	+45%	$284.6B	$144.21	+65%	$529.6B	$276.48	+85%
+6%	$66.2B	$26.28	+26%	$146.5B	$69.63	+46%	$294.1B	$149.34	+66%	$545.4B	$284.96	+86%
+7%	$69.0B	$27.83	+27%	$152.0B	$72.62	+47%	$303.9B	$154.60	+67%	$561.4B	$293.64	+87%
+8%	$72.0B	$29.43	+28%	$157.7B	$75.69	+48%	$313.9B	$160.01	+68%	$577.9B	$302.52	+88%
+9%	$75.1B	$31.09	+29%	$163.6B	$78.86	+49%	$324.2B	$165.56	+69%	$594.7B	$311.62	+89%

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$60.28B	—	2.5%	-$17.47B	$42.81B	**$23.11**
Base	$81.42B	—	2.5%	-$17.47B	$63.95B	**$34.52**
Bull	$93.93B	—	2.5%	-$17.47B	$76.46B	**$41.27**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$23.11	$25.13	$25.63	$26.09	$26.52	$26.92
Base	$34.52	$37.53	$38.91	$40.26	$41.60	$42.94
Bull	$41.27	$44.87	$46.66	$48.42	$50.16	$51.87

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $33.36 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Highway-to-rail freight conversions as trucking capacity stays tight

Intermodal volume +9% YoY leading broad-based carload growth

Raised FY2026 guide: revenue mid-to-high single digits, operating margin +350bps, FCF +80%

$0.14 quarterly dividend plus buybacks as cash generation recovers

Revenue and margin trend

METRIC	2022	2023	2024	2025	TTM
Revenue	$14.9B	$14.7B	$14.5B	$14.1B	$14.5B
Net Margin	27.7%	25.0%	23.9%	20.5%	22.2%
FCF Margin	23.0%	22.2%	18.7%	12.1%	n/a

Valuation cross-check

DCF Base $34.52

Forward P/E 21.3x

PEG 1.75

Base target is 33% below spot. Reverse DCF implies 19.2% revenue CAGR, above our bull case. Expensive in absolute terms.

Class I peers ~15-18x EV/EBITDA

CSX 17.2x TTM / 15.6x NTM

CSX trades in line to rich vs NSC/UNP with no discount for slower volume growth. No relative value.

52-wk range $33.63-$53.60

At $51.67 near the top of range

Multiples sit near cycle highs after the 2025 recovery rally; less room for multiple expansion from here.

What to monitor

Oct 21, 2026. Q3 2026 Earnings (Two-Sided): consensus EPS $0.53 and revenue $3.95B; tests whether the Q2 beat and raised guide held into H2.

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2027. Highway-to-Rail Conversions (Positive): tight truck supply and pricing power keep intermodal/merchandise volume growing mid-single digits.

Ongoing. Operating Ratio Path to Sub-60% (Two-Sided): OR improved to 61.7% in Q2; further productivity gains are the margin lever.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$14.9B	—	$6.0B	$7.6B
2023	$14.7B	—	$5.5B	$7.2B
2024	$14.5B	—	$5.2B	$7.0B
2025	$14.1B	—	$4.5B	$6.3B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$40.5B	$27.0B	$13.5B	$2.2B
2022	$41.9B	$29.3B	$12.6B	$2.0B
2023	$42.2B	$30.2B	$12.0B	$1.4B
2024	$42.8B	$30.3B	$12.5B	$933M
2025	$43.7B	$30.5B	$13.2B	$670M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$5.5B	$-2.1B	$-3.8B	$3.4B
2023	$5.5B	$-2.3B	$-3.9B	$3.3B
2024	$5.2B	$-2.5B	$-3.1B	$2.7B
2025	$4.6B	$-2.9B	$-2.0B	$1.7B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $33.36 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.22% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $9.13M of sales, a net flow of -$9.13M. One-year total shareholder return is +36.2% against CEO total pay of $2.19M (Mr. Stephen F. Angel), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.22% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $9.13M (4), net -$9.13M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +36.2%; Mr. Stephen F. Angel, CEO, President & Director, total pay $2.19M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-07-24	Williams Angela C	Officer	SELL	30,000	$1.60M
2026-07-24	Burns Michael S.	Officer	SELL	13,000	$684.8K
2026-06-03	Boone Kevin S	Chief Financial Officer	SELL	136,708	$6.38M
2026-06-03	Zillmer John J	Director	SELL	10,000	$464.5K

SEC proxy audit, DEF 14A filed 2026-03-30

Alignment grade B. MID-YEAR CEO LEADERSHIP TRANSITION. Stephen F. Angel, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Stephen F. Angel was appointed President and CEO in September 2025, with 96% of his prorated 2025 target compensation structured as at-risk variable equity and performance incentives. Incentive payouts demonstrated strict performance accountability: the 2025 MICP delivered only 76% of target after financial metrics hit 0%, while the 2023-2025 LTIP paid out at just 5% of target following a 0.79x relative TSR modifier reduction. Although final Summary Compensation Table figures appear on page 91 outside this excerpt, disclosed incentive mechanics show tight committee alignment with shareholders.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/277948/000162828026021944/csx-20260326.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Overvaluation vs Model

Base case $34.52 is 33% below spot; even the $41.27 bull case trails the stock, and all three cases sit below the current price. The market's implied 19.2% revenue CAGR prices in flawless execution we do not see.

Coal Exposure

Coal remains a double-digit share of revenue and is structurally declining; intermodal and merchandise must keep offsetting it.

Labor Costs and Service Execution

High labor costs and rail network disruptions were flagged as Q3 headwinds. Union labor is the largest controllable cost and bargaining power sits with labor.

Leverage and Capex Intensity

$18.9B of debt on a 1.43x debt-to-equity ratio with a 0.81 current ratio. Capex runs ~$2.4B a year; FCF can swing hard in a downturn.

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CSX Corporation valuation framework

The strengths

Operating Quality

Eastern Class I duopoly with one of two networks east of the Mississippi. 38.3% operating margin and 61.7% OR improving. Heavy moat, but revenue fell three straight years and leverage is high (D/E 1.43x).

Recent Trend

Record Q2: revenue +10%, EPS +23%, OR -2.4pts, FCF swung to +$687M. Volume rebound broad-based. But annual revenue declined 2022-2025 and net margins compressed 27.7% to 20.5%.

Forward Growth

Management guides mid-to-high single digit revenue growth with margin +350bps. Intermodal conversions have legs. Railroads are structurally low-growth, low-double-digit at best, and the DCF embeds the same.

Valuation

DCF base $34.52 sits 33% below the $51.67 spot. Reverse DCF implies 19.2% revenue CAGR, above our $41.27 bull case. Market prices perfection on a 4-5% grower. Terminal value blends two legs 50/50: a Gordon perpetuity at 2.5% growth on terminal-year free cash flow and an EV/EBITDA exit on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull). In the base case the legs are $68.0B (Gordon) and $125.9B (exit), blended to $96.9B, and the present value of terminal value is 81.7% of enterprise value (bear 78.9%, bull 81.8%). Cash flows are unlevered and are discounted at a weighted WACC of 8.72%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights (corrected 2026-10-22; the prior build discounted unlevered FCF at cost of equity alone, 9.46%).

Cascadia scorecard

Composite score 60: Fair. Confidence Medium, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Eastern Class I duopoly with one of two networks east of the Mississippi. 38.3% operating margin and 61.7% OR improving. Heavy moat, but revenue fell three straight years and leverage is high (D/E 1.43x).	78
Recent Trend	Record Q2: revenue +10%, EPS +23%, OR -2.4pts, FCF swung to +$687M. Volume rebound broad-based. But annual revenue declined 2022-2025 and net margins compressed 27.7% to 20.5%.	72
Forward Growth	Management guides mid-to-high single digit revenue growth with margin +350bps. Intermodal conversions have legs. Railroads are structurally low-growth, low-double-digit at best, and the DCF embeds the same.	58
Valuation	DCF base $34.52 sits 33% below the $51.67 spot. Reverse DCF implies 19.2% revenue CAGR, above our $41.27 bull case. Market prices perfection on a 4-5% grower. Terminal value blends two legs 50/50: a Gordon perpetuity at 2.5% growth on terminal-year free cash flow and an EV/EBITDA exit on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull). In the base case the legs are $68.0B (Gordon) and $125.9B (exit), blended to $96.9B, and the present value of terminal value is 81.7% of enterprise value (bear 78.9%, bull 81.8%). Cash flows are unlevered and are discounted at a weighted WACC of 8.72%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights (corrected 2026-10-22; the prior build discounted unlevered FCF at cost of equity alone, 9.46%).	38
Catalysts & Risk	Q3 earnings on Oct 21 are a two-sided test against a high bar. COO retired Oct 12, adding execution transition risk. Strong momentum offset by macro sensitivity and full valuation.	58

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Investment view

We rate the shares Hold, Valuation Concerns. The Q2 2026 print was Bullish, with net income up 24.5% year over year and an EPS beat, and the broader picture holds net income essentially flat year over year with steady free cash flow, so we see a healthy business rather than a deteriorating one, and we would not sell into strength. The Valuation Concerns qualifier reflects the price: all three cases, $23.11, $34.52 and $41.27, sit below the current price, and our base case sits 33% below the $51.67 reference price. A Q3 2026 miss or operating ratio deterioration would be the kind of business deterioration that could change our view. Conversely, sustained mid-single-digit volume growth with the operating ratio moving toward sub-60% could make the market implied growth credible and lift the Valuation score.

Investment view: Hold, Valuation Concerns. The $33.36 blended target implies -35%, balancing the $23.11 / $34.52 / $41.27 Bear / Base / Bull outcomes.

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